CONFIDENTIAL

Report to Investors in The Children's Investment Fund

Period: 1st July 2005 to 30th September 2005

Dear Investor

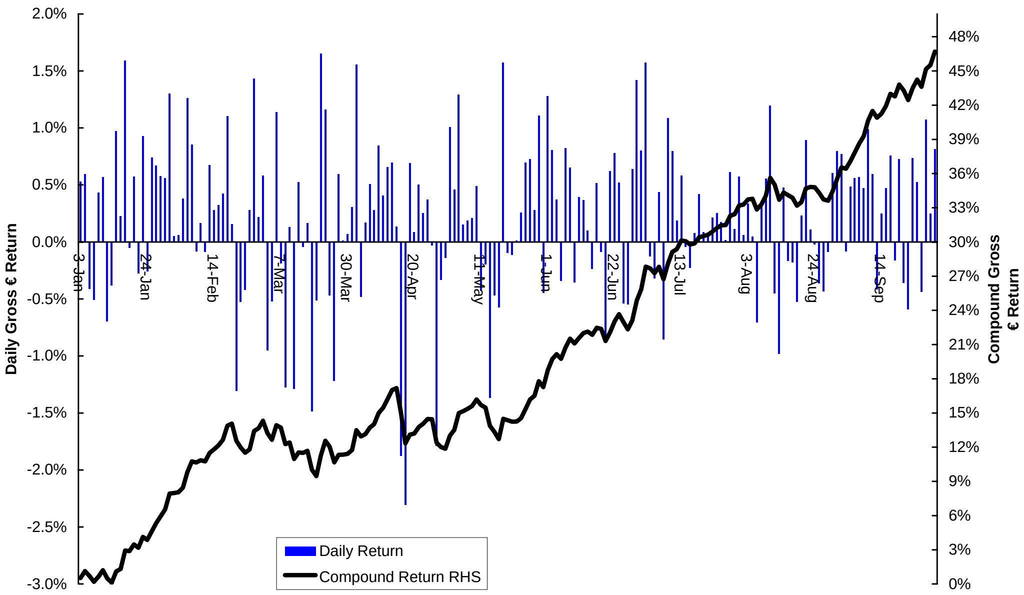
Returns

Returns to investors for this period, net of (a) management and accrued incentive fees and (b) monthly and annual accrued charitable donations from the fund, are shown below:

Period	Master Fund Assets €m	Class A (3yr) $	Class B (5yr) $	MSCI Europe (€)	S&P500 ($)	MSCI World ($)
January 05	1,960.4	+6.45%	+6.68%	+1.45%	-2.53%	-2.31%
February	2,265.0	+3.80%	+3.90%	+2.72%	+1.89%	+3.01%
March	2,274.7	-1.07%	-1.07%	-0.74%	-1.91%	-2.17%
Q1		+9.31%	+9.65%	+3.44%	-2.59%	-1.55%
April	2,501.6	-0.02%	-0.02%	-3.07%	-2.01%	-2.39%
May	2,885.7	+3.46%	+3.59%	+4.40%	+3.00%	+1.52%
June	3,270.9	+6.15%	+6.35%	+3.24%	-0.01%	+0.71%
Q2		+9.80%	+10.13%	+4.48%	+0.91%	-0.21%
July	3,624.3	+4.47%	+4.61%	+4.06%	+3.60%	+3.43%
August	3,754.4	+2.03%	+2.08%	-0.51%	-1.12%	+0.56%
September	4,055.2	+7.11%	+7.31%	+4.33%	+0.69%	+2.47%
Q3		+14.17%	+14.59%	+8.01%	+3.15%	+6.57%
2005		+37.04%	+38.41%	+16.73%	+1.39%	+4.70%
Inception 1/04		**+94.53%**	**+98.83%**	**+27.73%**	**+10.51%**	**+18.14%**

Sources: Citco Fund Services; Bloomberg LP,TCI

TCI Master Gross € Returns 2005

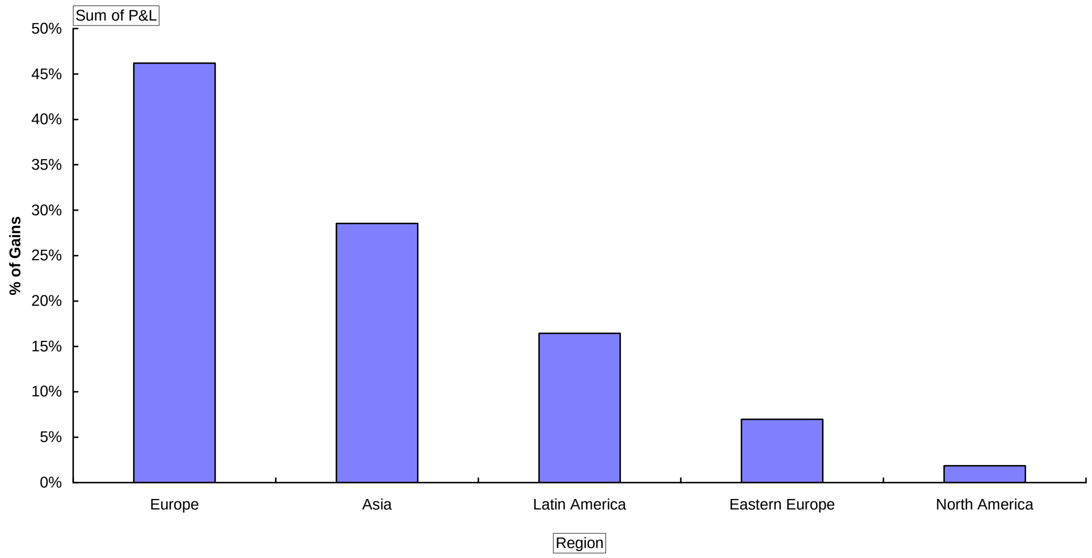


Exposure Summary

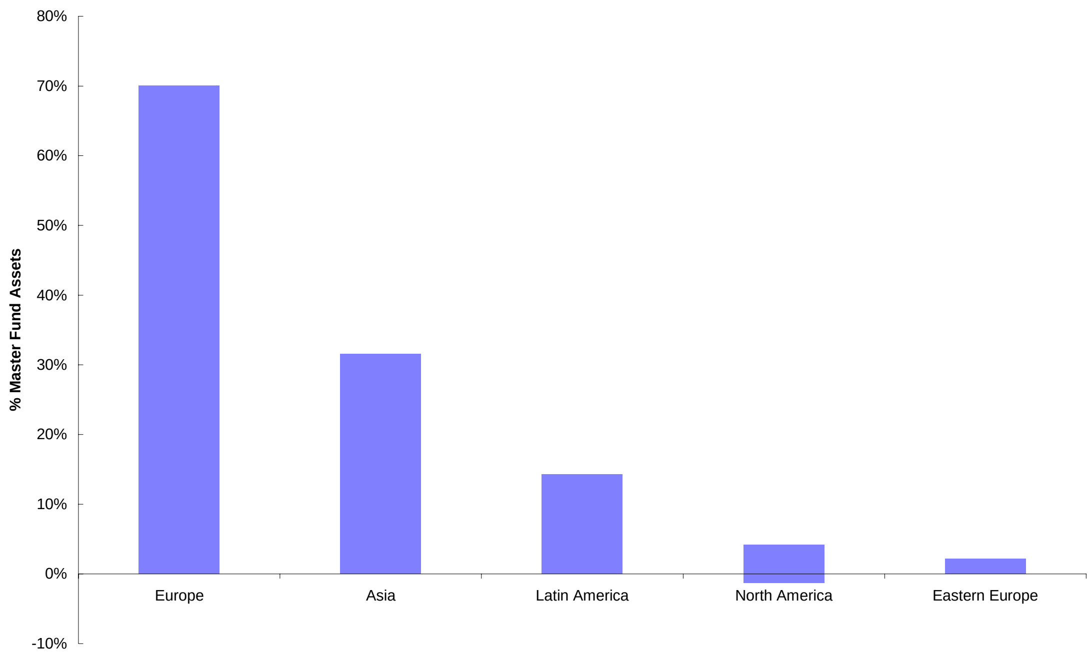
% of Master Fund Net Assets

Period	Outright Longs	Outright Shorts	Long side of Share Class Arbitrage	Short side of Share Class Arbitrage	Gross	Net
End January 05	122.3%	-5.5%	27.4%	-18.9%	174.1%	125.3%
End February	125.4%	-5.0%	16.6%	-14.2%	161.2%	122.7%
End March	129.5%	-5.2%	16.4%	-13.6%	164.7%	127.1%
End April	129.7%	-4.4%	13.4%	-11.1%	158.6%	127.6%
End May	120.6%	-4.2%	9.7%	-8.2%	142.6%	117.9%
End June	123.1%	-3.6%	8.5%	-7.2%	142.4%	120.8%
End July	123.8%	-3.4%	10.2%	-7.8%	145.2%	122.8%
End August	118.6%	-3.0%	9.0%	-7.8%	138.4%	116.8%
End September	120.1%	-2.8%	13.7%	-9.8%	146.4%	121.2%

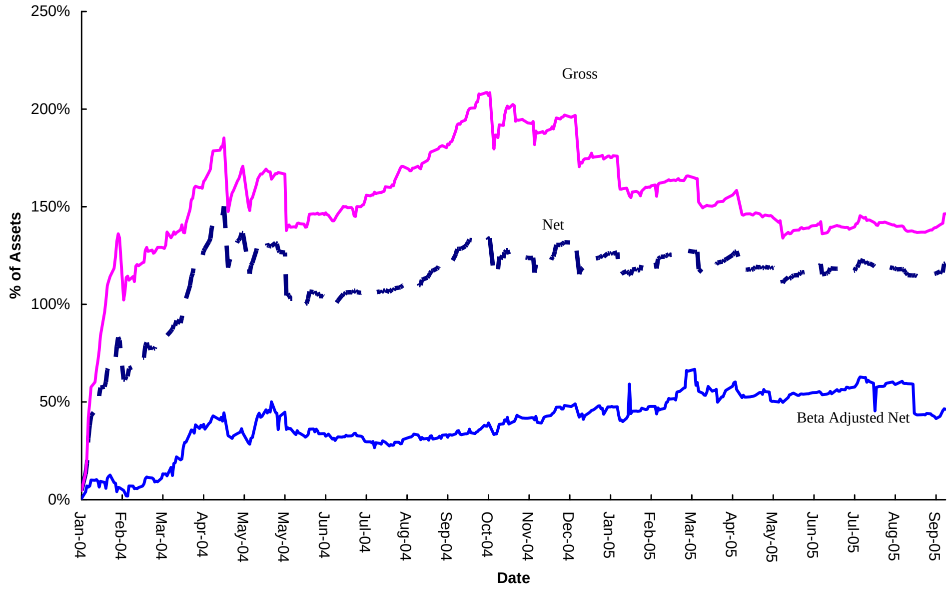
Geographic Split of Gains in the Quarter



Geographic Asset Split



TCI Master Fund Exposure Since Inception



Performance Attribution

Returns in the quarter were again broad based with nearly all positions contributing positively. Our stock exchange positions contributed one third of total gains. Appendix 1 details the breakdown for our largest holdings. Other material contributors not on this Appendix were Transneft (5% of total gains) and MTFG (3% of total gains).

Portfolio Update

Deutsche Boerse and Euronext

Both of our European stock exchange positions performed extremely strongly this quarter. Deutsche Boerse stock climbed 23% and Euronext 31%. Deutsche Boerse named a new CEO, Reto Francioni, who was the President of the Swiss Stock Exchange. He had been the deputy CEO of Deutsche Boerse for several years prior to its IPO. Deutsche Boerse also named an additional five new board members who will join the board in October, bringing the total number of the board to be replaced this year to nine. We think that the new board is technically strong and will work in the shareholders' interests. Two Americans and one Briton will be amongst those joining the board.

Trading activity this quarter has been very strong for stock and derivative exchanges. The Deutsche Boerse cash market volumes were up 50% and Eurex derivatives 17% in September year on year. It is worth noting that European short interest rates have been stable for over two years now, but with an upward bias likely this should increase volatility of interest rates and higher trading of fixed income derivative contracts. IPO activity has also been picking up.

It is our opinion that a merger between Deutsche Boerse and Euronext would, assuming limited regulatory concessions, be very attractive for both sets of shareholders. It would create large synergies across clearing, cash market and derivative exchanges. In addition, the investment banking customers would make huge indirect cost savings on compliance and IT which we believe would encourage them to support such a merger. We are opposed to Euronext buying the London Stock Exchange at this current moment in time because we see (a) the price that would need to be paid to be excessive and (b) further user fee cuts possible down the road, reducing the deal's attractiveness and (c) much larger merger synergies with less execution risk with a merger with Deutsche Boerse.

Cemig

Cemig increased 13% in local terms (and 21% in dollar terms) during the quarter as the Brazilian Real continued to strengthen. Political concerns diminished somewhat during the quarter and expectations for declining interest rates increased. Interestingly, a Real 10 year bond was issued to foreign investors at a 13% nominal return compared to current short term interest rates of close to 20% nominal and 14% real. Part of our investment thesis on Cemig is that Brazilian interest rates are too high in real terms and will decline given the strong fundamentals of the economy today. This bond issue provides evidence that this will be the case.

Hyundai Mobis and KT&G

Both of these Korean stocks performed well in the quarter helped by the strong Korean stock market which has been one of the top performers in the world this year. Record low interest rates have encouraged local institutions to move money out of fixed income instruments into equities after many years in which they were structurally sellers of equities to foreign investors.

Mitsubishi Financial Group (MTFG)

We started a new position in this Japanese bank during the quarter, which will be the world's largest bank by assets when it merges later this year with UFJ. Merger cost cuts, fee income growth and rising interest rates should produce strong profit growth.

Indian Banks

These were big contributors to performance this quarter. After substantially underperforming the market this year, they did some catching up. They remain very cheap in both absolute and relative terms. We would increase our positions were it not for foreign ownership restrictions which make this almost impossible for us or other foreigners to increase holdings in the State owned banks. Indian GDP is running at 8% currently and bank credit growth is running at 20-30%.

ASF

We reduced our significant stake in ASF during the quarter after a bid was formally submitted for the company to the French Government by Vinci.

Transneft

Our position in Transneft increased almost 85% during the quarter. We loved the monopoly ownership of Russia's oil pipeline system and the 30% equity free cash flow yield at our entry price but struggled with the lack of shareholder focus of the company's management to be able to justify a bigger position versus the Brazilian utilities.

Gazprom

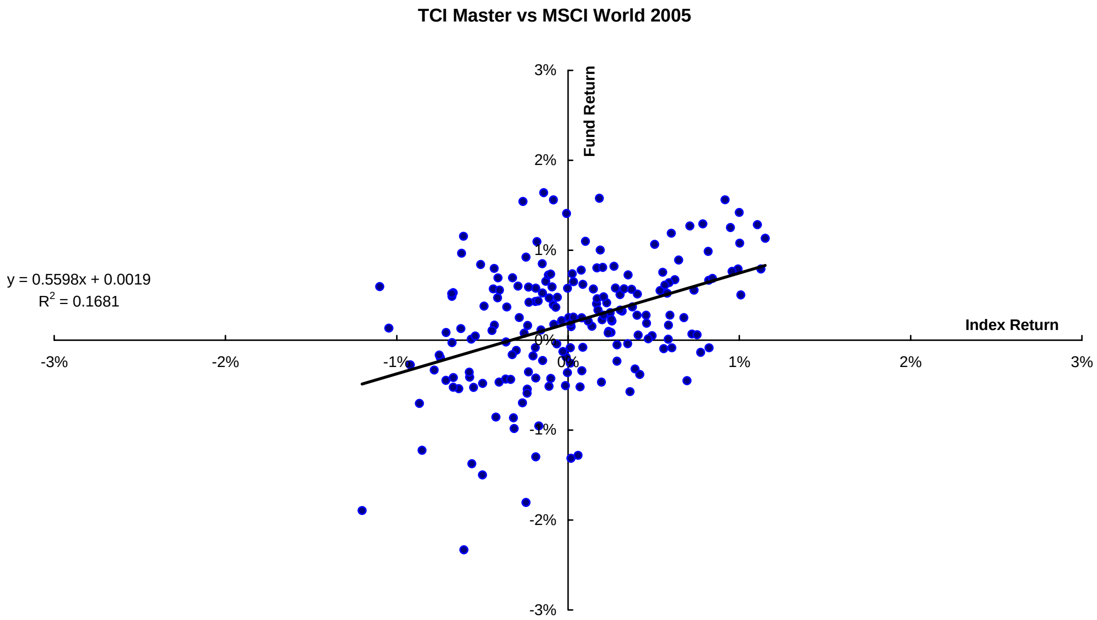
Gazprom issued a press release at the end of September, confirmed by President Putin, stating that they had put forward proposals to the Government for the full liberalisation of its share ownership by eliminating foreign ownership restrictions on local shares. They set a deadline of the end of the year. We currently own 5% of NAV long local shares and 4% short in the ADR which trades at around a 30% premium to the local shares. Lack of ADR borrow and our desire to limit the fraud risk on the holding of local shares limits our interest and ability to increase this arbitrage position.

New Ideas

We are currently finding many good ideas to invest in all over the world. We have recently initiated new positions in stocks in Mexico, Japan and, unusually for us, the USA. The common theme is strong companies with high free cash flow yields and heavy asset backing. It is a great advantage for us not to be tied by country, index or sector restrictions.

Market Correlation This Year to Date

This has stayed stable during the quarter. Our portfolio's Correlation Co-efficient (R) is 0.4 YTD which, by way of comparison, would be 1.0 for an index tracking fund which tracks MSCI World. In other words, whilst we clearly have market exposure, the vast bulk of our gains are coming from stock selection since inception.



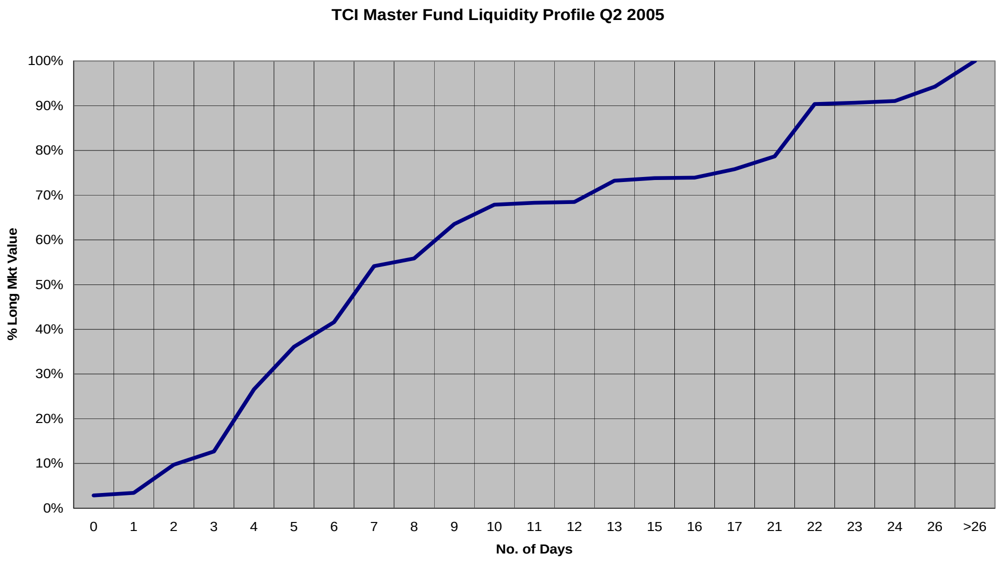
Foreign Currency Exposure

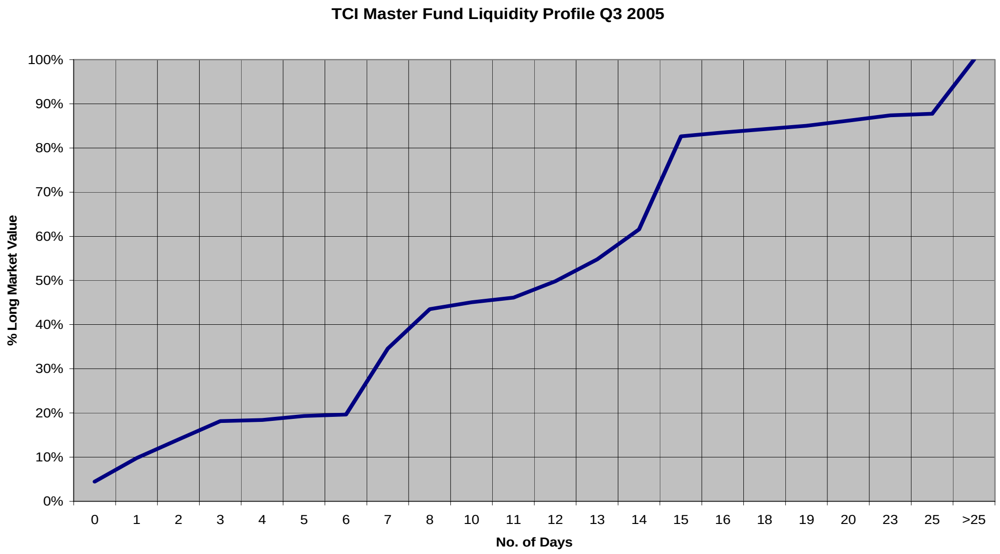
The Fund continued to hedge its material non-base currency exposure as a general rule. Some currency exposures were left unhedged and these are shown below with their quarter end net positions. Except for Brazil the reason these currencies are not hedged are that we think either the currency is pegged to the dollar (Malaysia) or the investments are in dollarised assets.

Summary of unhedged currency exposures -

Russia	1% net long
Malaysia	1% net long
Mexico	2% net long
Indonesia	1% net long
Brazil	12% net long

Liquidity Analysis





nb: Analysis is based upon long positions only, including long side of share class arbitrages

There has been a slight reduction in the overall liquidity of the portfolio. For example, last quarter, 36% of longs were five days volume of less and this quarter it is 19%. Similarly, 45% of longs are ten days volume or fewer compared to 68% last quarter. However, 80% of the portfolio is still less than 15 days volume

A major factor in reduced liquidity can be attributed to Deutsche Boerse, Cemig and one Asian property company, positions that make up 33% of NAV. Trading volumes in these names came off 35%, 30% and 33% respectively. We have also increased our position in Deutsche Boerse by 5% of NAV. Another factor is the seasonal reduction in trading volumes in Europe throughout the summer, with European names down 7% on average from Q2.

Private Equity Opportunity

We are currently evaluating an attractive non-auctioned private equity investment in a Chinese toll road for a total of around $120 m. We expect that the company would be IPO'ed in Hong Kong within 3 years of our investment. We have not yet decided if the Fund would be a suitable vehicle given the issues of valuation of private equity investments.

Operations Staffing

We are pleased to announce the following additions to our operations team.

Cathy O'Reilly joins as new COO
Rahul Moodgal joins as new Head of Investor Relations
Sydnie Beckman joins as an Operations Officer
Sam Young joins as a Financial Accountant and Compliance Officer

After more than two years with us Doug Shaw will be leaving TCI as our COO and Investor Relations head by the end of November to be replaced by Cathy O'Reilly from Goldman Sachs Prime Brokerage. Doug has worked hard for us during this time and we thank him very much for his good service to the Fund and its investors.

It is worth laying out our thought process on this management change. With the growth of our fund it became increasingly clear that the original role envisioned for Doug had changed. First, at the start of this year Doug gave up his initial CFO and compliance role to Tej Gujadhur as the need became clear for a more specialised accounting and auditing background to effectively perform this role. Secondly, during the Spring we decided that we had reached a size where we needed a full time Investor Relations head rather than the half time that Doug was devoting to this task, and we hired Rahul Moodgal for this role which he started doing on October 1.

Additionally, during the last year it has been increasingly evident that a large part of the COO role had become related to handling our relationships with investment bank counterparties and prime brokers and putting in place reporting systems for counterparty credit risk, FX hedging, and swap exposures. We realised that having a deeper background in these issues from the perspective of our prime brokers would be a tremendous strength for our fund. In addition, it has also become increasingly desirable that our COO had an accounting background to be able to assist and strengthen our CFO function. All these factors contributed to us deciding that the original role envisioned for Doug no longer fitted with the current demands of the job of COO.

I am pleased to announce that Cathy O'Reilly has joined us as our new COO effective October 10th. At Goldman Sachs Cathy was an Executive Director and, amongst her roles, Client Services Desk Head within Prime Brokerage. Cathy has helped us over the last couple of years in helping to put in place better control procedures and systems for our operations group and has a good knowledge of our fund from her role servicing us at Goldman Sachs. I am convinced that she will do a great job for us in ensuring that we continue to run a top class operations group. Her accounting background will also be put to good use in helping Tej Gujadhur to develop his team in accounting and compliance. We attach a CV for Cathy in the Appendix of this letter.

The day to day management of the operations of our fund will continue to be led by Hayley Wilson with review now being done by Cathy O'Reilly. Hayley has done an excellent job in this role for the last two years with full responsibility for all day to day operational matters (with COO ultimate review) with the exception of responsibility for swap and prime broker agreements.

Sam Young joins us from Ernst and Young where he was an Executive in Investment Management Audit. Prior to joining TCI he had been working on secondment to Fidelity Investments as a Compliance Officer. He is a qualified Chartered Accountant. He will be working with Tej Gujadhur as a Financial Accountant and Compliance Officer.

Sydnie Beckman joins us from Goldman Sachs where she had been working in operations and trade support. She will be working with Hayley Wilson, Joe Cusworth and Pritesh Parmar as an Operations Officer.

Analyst Staffing

Our team continues to develop and perform strongly. In particular, I would like to note the excellent working relationship on Asian investments between John Ho and Oscar Veldhuijzen which is increasingly bearing fruit with many new investment ideas. We have started to look for one more analyst to support us on Europe and work closely with Stuart Powers and Patrick Degorce.

KDA Capital

KDA Capital, a long only European fund that we are sponsoring run by a former star fund manager from Fidelity International David Baverez, has started marketing in the last two weeks. They have received an enthusiastic response and are seeking indicative commitments by the end of this month for a December 1st launch. Rahul Moodgal (rahul@tcifund.com) is the contact for any enquiries related to this fund.

As always we thank you for your support and appreciate your feedback as our partners.

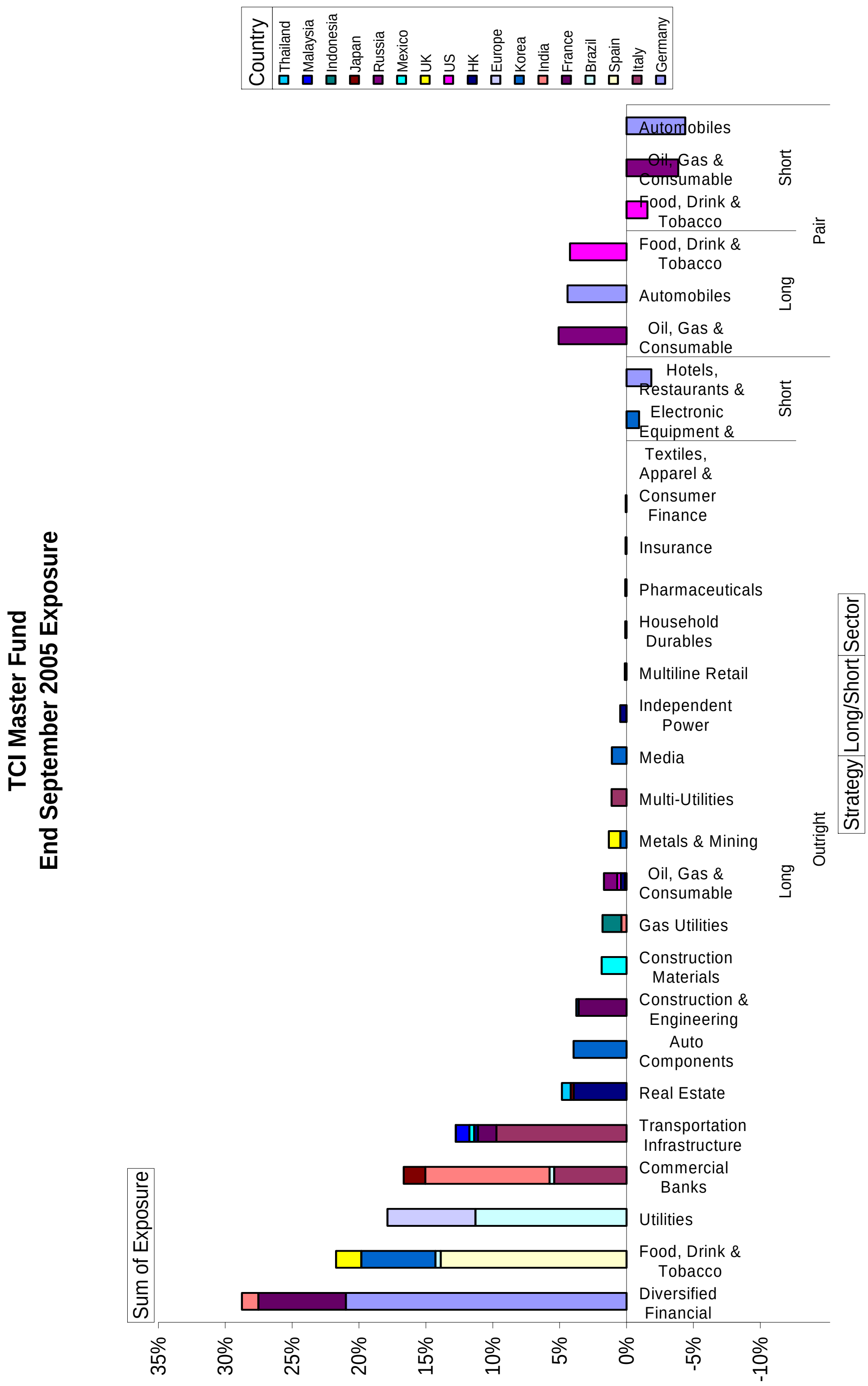
Christopher Hohn
Managing Partner
The Children's Investment Fund Management (UK) LLP

Appendix 1

Top Positions at Quarter End and Their Q3 Trading Gains

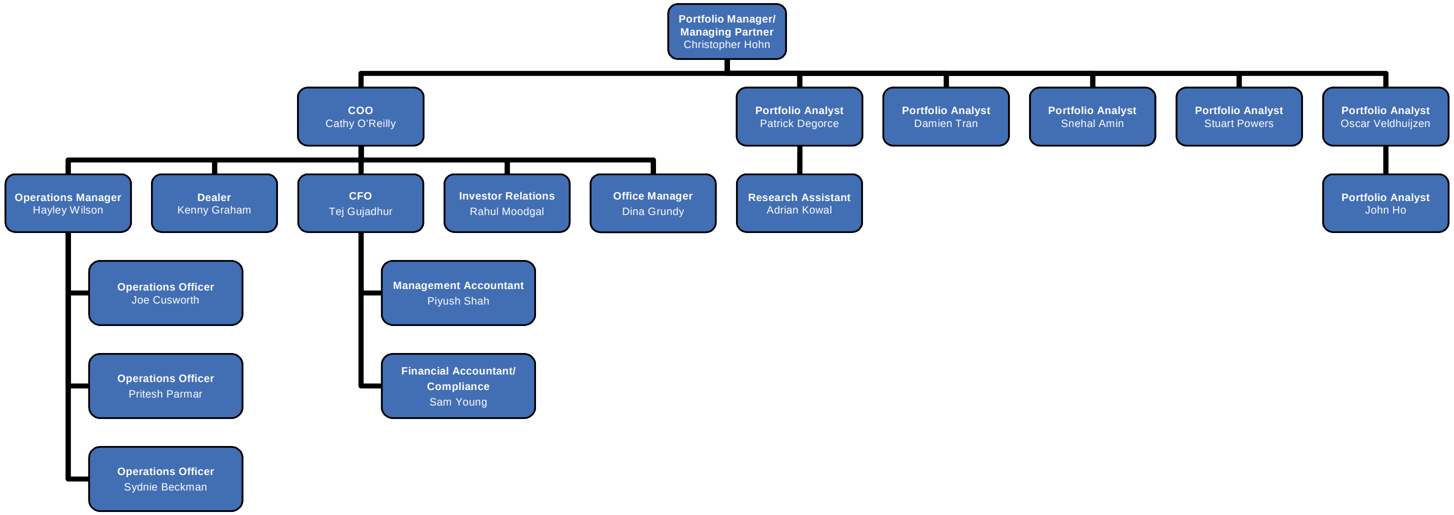
	% Master Fund Net Assets	Country	Market Cap, $bn	% of Q3 Trading Gains	Trading Gains as % of End NAV
Deutsche Boerse	21.0%	Germany	10	22.4%	3.3%
Altadis	13.9%	Spain	12	6.7%	1.0%
Autostrade	9.7%	Italy	14	-1.8%	-0.3%
CEMIG	7.7%	Brazil	6	9.0%	1.3%
Unnamed Utility	6.6%	Europe	4	1.6%	0.2%
EuroNext	6.5%	France	5	10.5%	1.6%
KT&G	5.1%	Korea	7	3.9%	0.6%
Hyundai Mobis	4.0%	Korea	7	4.9%	0.7%
Unnamed Property Company	3.9%	Hong Kong	5	1.9%	0.3%
Oriental Bank of Commerce	3.3%	India	2	1.4%	0.2%
Gazprom	5.1%	Russia	126	14.4%	2.1%
Gazprom ADR	-3.9%	Russia	158	-12.0%	-1.8%
Volkswagen Pref	4.4%	Germany	26	6.8%	1.0%
Volkwagen Ords	-4.4%	Germany	26	-7.8%	-1.2%
	82.9%			61.9%	9.2%

Appendix 2 – End Quarter Sector and Country Exposure



Sum of Exposure			Country																	
Strategy	Long/Short	Sector	Germany	Italy	Spain	Brazil	France	India	Korea	Europe	HK	US	UK	Mexico	Russia	Japan	Indonesia	Malaysia	Thailand	Grand Total
Outright	Long	Diversified Financial Services	21.0%				6.5%	1.2%												28.7%
		Food, Drink & Tobacco			13.9%	0.4%			5.5%				1.9%			0.0%				21.7%
		Utilities				11.3%				6.6%										17.9%
		Commercial Banks		5.4%		0.4%		9.3%	0.0%							1.6%				16.7%
		Transportation Infrastructure		9.7%			1.4%				0.3%			0.4%				1.0%	0.0%	12.8%
		Real Estate									3.9%	0.0%				0.2%			0.7%	4.8%
		Auto Components							4.0%											4.0%
		Construction & Engineering					3.6%		0.2%											3.8%
		Construction Materials												1.9%						1.9%
		Gas Utilities						0.4%									1.4%			1.8%
		Oil, Gas & Consumable Fuels						0.1%			0.3%	0.3%			1.0%					1.7%
		Metals & Mining							0.5%				0.9%							1.3%
		Multi-Utilities		1.1%																1.1%
		Media					0.0%		1.1%											1.1%
		Independent Power Producers & Energy Tra				0.0%					0.5%									0.5%
		Multiline Retail															0.1%			0.1%
		Household Durables																	0.1%	0.1%
		Pharmaceuticals							0.1%											0.1%
		Insurance		0.1%																0.1%
		Consumer Finance							0.1%											0.1%
		Textiles, Apparel & Luxury Goods				0.0%										0.0%				0.0%
	Long Total		21.0%	16.3%	13.9%	12.1%	11.5%	11.0%	11.4%	6.6%	5.0%	0.3%	2.7%	2.2%	1.0%	1.8%	1.5%	1.0%	0.8%	120.1%
	Short	Electronic Equipment & Instruments							-0.9%											-0.9%
		Hotels, Restaurants & Leisure	-1.9%																	-1.9%
	Short Total		-1.9%						-0.9%											-2.8%
Outright Total			19.1%	16.3%	13.9%	12.1%	11.5%	11.0%	10.4%	6.6%	5.0%	0.3%	2.7%	2.2%	1.0%	1.8%	1.5%	1.0%	0.8%	117.3%
Pair	Long	Oil, Gas & Consumable Fuels													5.1%					5.1%
		Automobiles	4.4%																	4.4%
		Food, Drink & Tobacco										4.2%								4.2%
	Long Total		4.4%									4.2%			5.1%					13.7%
	Short	Food, Drink & Tobacco										-1.6%								-1.6%
		Oil, Gas & Consumable Fuels													-3.9%					-3.9%
		Automobiles	-4.4%																	-4.4%
	Short Total		-4.4%									-1.6%			-3.9%					-9.8%
Pair Total			0.0%									2.7%			1.2%					3.9%
Grand Total			19.2%	16.3%	13.9%	12.1%	11.5%	11.0%	10.4%	6.6%	5.0%	2.9%	2.7%	2.2%	2.2%	1.8%	1.5%	1.0%	0.8%	121.2%

The Children's Investment Fund Management (UK) LLP



Statistical Appendix Since Inception

Period	Master Fund Assets €m	Class A (3yr) $	Class B (5yr) $	MSCI Europe (€)	S&P500 ($)	MSCI World ($)
January 04	374.8	+1.36%	+1.41%	+1.60%	+1.73%	+1.54%
February	531.7	+5.08%	+5.26%	+2.17%	+1.22%	+1.55%
March	553.6	+2.75%	+2.78%	-2.64%	-1.64%	-0.89%
Q1		+9.44%	+9.71%	+1.06%	+1.28%	+2.20%
April	734.6	+3.70%	+3.77%	+1.58%	-1.68%	-2.22%
May	872.1	+0.40%	+0.43%	-1.46%	+1.21%	+0.67%
June	1,081.2	+2.82%	+2.90%	+1.72%	+1.80%	+1.91%
Q2		+7.05%	+7.23%	+1.81%	+1.30%	+0.32%
July	1,088.4	-0.24%	-0.24%	-2.15%	-3.43%	-3.34%
August	1,113.9	+0.85%	+0.88%	-0.48%	+0.23%	+0.26%
September	1,172.8	+4.86%	+5.00%	+2.33%	+0.84%	+1.77%
Q3		+5.50%	+5.67%	-0.35%	-2.30%	-1.38%
October	1,187.3	+2.35%	+2.41%	+1.37%	+1.40%	+2.37%
November	1,434.6	+4.93%	+5.31%	+2.43%	+3.86%	+5.09%
December	1,588.5	+6.94%	+7.13%	+2.79%	+3.25%	+3.73%
Q4		+14.85%	+15.54%	+6.73%	+8.73%	+11.59%
2004		**+41.95%**	**+43.65%**	**+9.43%**	**+8.99%**	**+12.84%**
January 05	1,960.4	+6.45%	+6.68%	+1.45%	-2.53%	-2.31%
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2005		+37.04%	+38.41%	+16.73%	+1.39%	+4.70%
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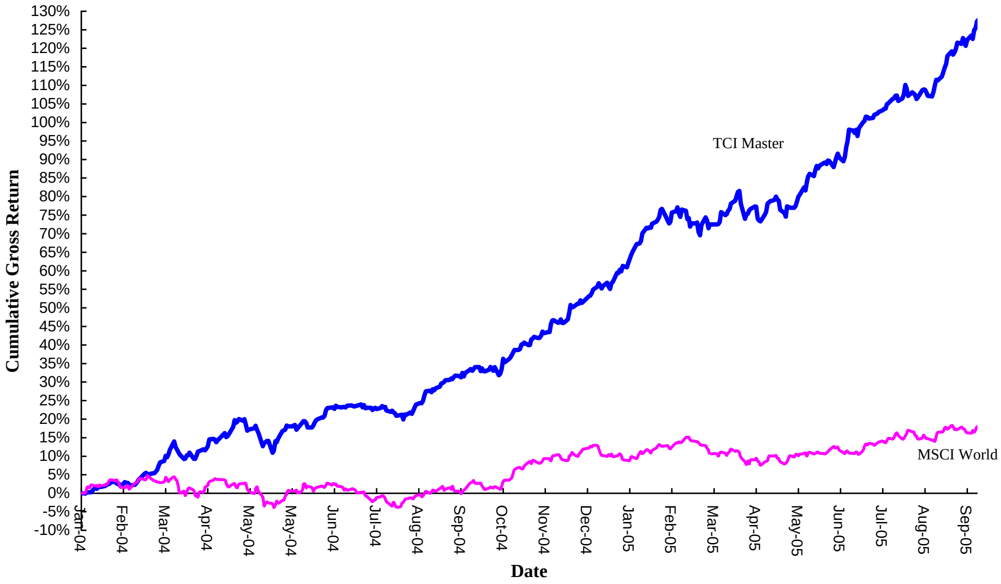
Sources: Citco Fund Services; Bloomberg LP

TCI Master (€) & MSCI World ($) Since Inception



CATHERINE O'REILLY

PROFESSIONAL SUMMARY

A qualified chartered accountant with thirteen years experience working within the financial services industry. Nine years with Goldman Sachs International, most recently as the Co-Head of their Prime Brokerage New Business Group. Extensive experience working with hedge fund COO/CFOs; advising on operational infrastructures, day to day operational workflows, settlement, corporate actions and margin treatment of portfolios. Worked with internal and external lawyers in negotiating prime brokerage and ISDA documents. Specialised in the integration of new funds to existing hedge fund platforms as well as overseeing operational and risk control processes for new and existing hedge funds. Qualified with Price Waterhouse Coopers in their Financial Services and Banking group in London.

EMPLOYMENT HISTORY AND PROFESSIONAL ACCOMPLISHMENTS

2004-Present GOLDMAN SACHS INTERNATIONAL, London
Executive Director – Co-Head Prime Brokerage New Business Group
Managed a team of ten responsible for assisting hedge fund managers' launch their hedge funds. Worked with key global hedge funds in helping them understand legal frameworks (e.g. Prime Brokerage and ISDA documents), operational workflows, infrastructure and technology requirements.

2000-2004 GOLDMAN SACHS INTERNATIONAL, London
Executive Director - Prime Brokerage Client Services Desk Head
Responsible for a desk that assisted over 70 hedge fund clients with all aspects of their operational activities. Functions included: trade file transmission, asset servicing, trade settlement, fails management, margin financing, operational controls and risk management implementation. Managed the growth phase of the Client Services function by enhancing and streamlining internal processes, introducing efficiencies and recruiting staff.

1998-2000 GOLDMAN SACHS PARIS INC et CIE, Paris
Associate - Management Controls Department
Seconded to the Paris office for two years. Established an internal audit function in the region to perform risk/control assessments across both the equity and fixed income businesses. Assisted the office in renewing its SVT status with the French Treasury.

1996-1998 GOLDMAN SACHS INTERNATIONAL, London
Associate - Management Controls Department
Focused on a business line review of the international securities lending businesses both in London and in New York. Analysed the margin financing business to hedge funds. Worked on the risk system to understand, margin reporting logic, portfolio valuations, margin requirements and margin excess/deficit calculations by strategy and by product.

1992-1996 PRICE WATERHOUSE COOPERS, London
Assistant Manager, Financial Services and Banking Group
Performed in-depth analysis and consolidation of financial statements. Drafted risk/control matrices for equity and fixed income products. Reviewed FSA returns and other regulatory related projects. Key clients included: UBS, Barclays, Credit Lyonnais, Nationwide

Secondment to Corporate Recovery (1995-1996)
Assigned to the Administration of Maxwell Communications and the Liquidation of Atlantic Computers.

ACADEMIC AND PROFESSIONAL CREDENTIALS
Associate Chartered Accountant (ACA) - Institute of Chartered Accountants in England and Wales (ICAEW 1996)

Bachelor of Arts Honours Degree (BA Hons) Accounting and Finance – Nottingham Trent University UK (1992)

Prize Winner for final year dissertation paper “The Quest for Managerial Competence”